

Introduction to Management

Chapter four

Definition

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Organizing is the process of identifying and grouping tasks to be performed, assigning responsibility and delegating authority and establishing relationships for the purpose of enabling to work most effectively together in the accomplishment of objectives.

Definition (continued)

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Four distinct Activities:

- I.** It determines what work activities have to be done to accomplish organizational objectives.
- II.** It classifies the type of work needed and groups the work in to manageable units.
- III.** It assigns the work to individuals and delegates the appropriate authority.
- IV.** It designs a hierarchy of decision-Making Relationships.

FORMAL AND INFORMAL ORGANIZATION

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- ✘ **Formal organization** is an organization that is deliberately and rationally designed and approved by management
- ✘ **Informal organization** refers to people in group associations, but these associations are not specified in the structure of the formal organization.
- ✘ Informal organizations are **natural groupings** of people in the work situation based on their behavioral patterns, interests, beliefs, objectives, etc.
- ✘ They appear in response to the social needs – the need of people to associate with others.

FORMAL AND INFORMAL ORGANIZATION(continued)

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Informal organizations have the following characteristics:

Group norms: these are unwritten laws that govern the behavior of members of the informal organization.

Group cohesiveness: by this we mean the members of an informal organization stick together.

Group leadership: the informal organization has a leader- the informal leader. This person is the most active one from among the members.

Communication network: the informal; organization has a communication network that is called grapevine.

FORMAL AND INFORMAL ORGANIZATION(continued)

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Types of Groups in the Informal Organization

A.Horizontal Groups

- ✍ Include persons whose positions are on the same level of the organization i.e. they are groups that are formed by peers.
- ✍ The groups can consist of all the members in the same work areas or membership developed across departmental lines.
- ✍ Members may be all management or non-management personnel.

FORMAL AND INFORMAL ORGANIZATION(continued)

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B.Vertical Groups

- ✍ Include people on different levels of the formal organization's hierarchy.
- ✍ These people always come together within the same department (work areas).
- ✍ A vertical group can consist of a supervisor and one or more of his/her employees. It may also be formed through skip - level relationships - a top-level manager may associate with a first level manager.
- ✍ Their relationships can be the result of outside interests or various employment relationships.

Mixed Group

✍ It is a combination of two or more persons whose positions are on different levels of the formal organization and in different work areas.

Example:A Vice-President may develop a close relationship with the director of computer services in order to get preferential treatment.

✍ Mixed groups often form because of common bonds outside work.

Why people form informal groups?

- ✘ **Need for satisfaction**

- ✘ **Proximity and interaction:** Horizontal informal groups are prime examples of this.

- ✘ **Similarity: People** may join informal groups because they are attracted to other people who are similar to themselves.

- ✘ Several persons with the same attitudes or beliefs may join one group. Other factors or similarity can be personality, race, sex, economic position, age, educational background

Why informal groups exist?

- ✎ They maintain the social and cultural values of the group members.
- ✎ They provide group members the opportunity for status fulfillment and social interaction
- ✎ They provide information for their members
- ✎ They influence the work environment

The Impact of Informal Organization on the Formal Organization

The Negative Impacts:

- ~~✗~~ Resistance to change
- ~~✗~~ Conflict
- ~~✗~~ Rumor
- ~~✗~~ Pressure to conform

The Positive Impacts

- ✍ Makes the total system effective
- ✍ Provides support to management
- ✍ Provides a useful communication channel:
- ✍ Encourages better management
- ✍ Provides stability in the work environment

DEPARTMENTALIZATION

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What is departmentalization?

- ✍ The process of combining jobs into groups is termed departmentalization.
- ✍ A manager must have a basis, or rationale, for combining jobs.

Bases of departmentalization

A.Functional Departmentation:

- ✍ A business firm includes such functions as production marketing, finance, accounting, and personnel.

B.Territorial (Geographic) Departmentation:

- ✍ All activities in a geographic area are assigned to a particular manager.

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✍ A business firm that is dispersed geographically often will use territory as a departmentalization basis.

C. Product Departmentation:

✍ Activities and personnel are grouped on the basis of product.

✍ As a firm grows, coordinating its various functional departments become more difficult, and product departmentation can ease coordination problems

✍ The need for coordinating production, engineering, sales, and service cannot be overestimated.

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✍ Each division also must have accountants, lawyers, engineers, market researchers, and scientists assigned to it .

✍ Therefore, the product based organization runs the danger of duplication of effort among its divisions.

D.Customer Departmentation:

✍ Grouping activities so that reflect a primary interest in customers is common in a variety of enterprises.

E.Multiple departmentalization:

✍ They combine their activities by combining different bases.

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Example: at the upper levels of management, the vice presidents reporting to the president may represent different product groups.

At the level directly below the vice presidents, the managers may be part of a particular function. At the next level in the organization, there may be a number of different technical classifications.

F.Matrix organizational:

The essence of matrix organization normally is combining of functional and project or product patterns of departmentation in the same engineering department, there are functional managers in charge of engineering functions and an overlay of project managers responsible for the end product.

Span of Control (Span of Management)

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✎ The span of control or span of management is concerned with the number of subordinates each manager should have to direct. There is no correct number for the span of control.

✎ The more complex a subordinate's job, the fewer should be that manager's number of subordinates, the greater the number of subordinates that can be effectively directed and controlled.

Q. Just how many subordinates should any one manager have?

Span of Control (Span of Management)

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Narrow span of management-refers to the fact that a few subordinates reporting to superior or being supervised by a superior.

Characteristics

1. Tall organizational structure and many levels of management
2. More communication between subordinate and superior
3. More trained personnel and centralized authority.

Span of Control (Span of Management)

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Wide span of management-refers to the fact that many subordinates reporting to a superior or being supervised by a superior.

Characteristics

1. Short organizational structure and few levels of management.
2. Less communication between subordinates and superior because superiors do not have time to deal ideas with each subordinate.
3. Less trained managerial personnel and decentralized authority
4. The development of clear policies, rules.....etc.

Span of Control (Span of Management)

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FACTORS AFFECTING /DETERMINING THE SPAN OF MANAGEMENT

-  The ability of the manager
-  The ability of the workers
-  The nature of the work
-  Well defined Authority and responsibility
-  Geographical location
-  Sophisticated information and control system
-  Economic considerations: Companies prefer wide span to reduce costs (salaries of managers)

Authority and power

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✎ Authority is the right to command resources in an organization.

Types of authority:

A. Line authority

✎ Defines the relationship between superior and subordinate.

✎ It is a direct supervisory relationship.

✎ Line authority flows downward in an organization directly from superior to subordinate.

Authority and power

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B. Staff authority:

- ✎ It is advisory in nature.
- ✎ Managers whose role is to provide advice or technical assistance are granted advisory authority.
- ✎ Advisory authority does not provide any basis for direct control over the subordinates or activates of other departments with whom they consult

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C.Functional authority:

- ✎ It is authority delegated to an individual or department are specific activities undertaken by personnel in other departments.
- ✎ Staff departments may be given functional authority to control their systems' procedures in other departments.

Authority and Power

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Sources of power:

Legitimate power/position power:

Refers to the power a leader possesses as a result of occupying a particular position or role in the organization

Reward Power:

Refers to the leader's capacity to give or withhold rewards for followers.

Coercive Power:

Coercive power is the ability to coerce or punish the influences/followers when they do not engage in desired behaviors.

Authority and Power

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Expert Power:

- ✍ Refers to power that a leader possesses as a result of his or her knowledge and expertise regarding the tasks to be performed by subordinates.

Referent Power / Charismatic Power:

- ✍ Power that results from being admired, personally identified with or liked by others.

Example: Great Athlete, a Great Football Player

Authority and Power

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Authority	Power
✎ It is positional: it will be there when the incumbent leaves.	✎ It is personal-it exists because of the person.
✎ Narrower – it is one type of power	✎ Broader
✎ It changes with changes in position.	✎ Some types of power do not change (Expert, referent) but some change legitimate, reward, coercive.
✎ Authority is delegated to an individual	✎ Not all power types can be delegated (Expert and referent).

Delegation of Authority:

- ✍ Delegation is a concept describing the passing of formal authority to another person.
- ✍ Superiors delegate, or pass authority down, to subordinates in order to facilitate work being accomplished.
- ✍ Delegation may become necessary when managers are absent from their jobs or just may be the philosophy of the manager in order to develop subordinates.

Procedures of delegation:

Step1:Assignment of tasks:

- ✍ Specific tasks or duties that are to be undertaken are identified by the manager for assignment to the subordinate.
- ✍ The subordinate is then approached with the assignment (tasks).

Step2:Delegation of authority:

- ✍ In order for the subordinate to complete the duties or tasks, the authority necessary to do them should be delegated by the manager to the subordinate.
- ✍ A guideline for authority is that it should be adequate to complete the task- no more and no less.

Delegation, centralization and decentralization

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Step3:Acceptance of Responsibility: ✍ Responsibility to carry out one's assigned duties to the best of one's ability.

✍ The employee is the receiver of the assigned duties and the delegated authority; these confer responsibility as well.

Step4: Creation of accountability:

✍ Accountability is having to answer to someone for your actions.

✍ It means taking the consequences- either credit or blame .

Delegation, centralization and decentralization

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Centralization vs. Decentralization

✍ The terms centralization and decentralization refer to a philosophy of organization and management that focuses on either the selective concentration (centralization) or the dispersal (decentralization) of authority within an organization structure.

✍ Guide lines to follow in determining the degrees of decentralized

The greater the number of decisions made at the lower levels of management, the more the company is decentralized.

Delegation, centralization and decentralization

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- ✍ The more important the decisions made at lower levels, the greater the decentralization.
- ✍ The more flexible the interpretation of company policy at the lower levels, the greater the degree of decentralization.
- ✍ The more widely dispersed the operations of the company geographically, the greater the degree of decentralization.

Delegation, centralization and decentralization

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- ✍ The less a subordinate has to refer to his or her manager prior to a decision, the greater the decentralization.